Question #1 of 23

Question ID: 1687640

Dae Han invests USD 200,000 at an expected return of 8.2% for 17 years. All of the return is from deferred capital gains. The cost basis of 80% and the capital gains tax rate is 20%.

Calculate the proportion of investment gains consumed by taxes.

A) 22.68%.

B) 20.00%.

C) 21.42%.

Explanation

FV gross $= \text{initial investment} \times (1 + \text{gross return})^{t}$

$= \text{USD } 200{,}000 \times (1.082)^{17}$

$= \text{USD } 763{,}648$

FV net $= \text{initial investment} \times (1 + \text{gross return})^{t} \times (1 - t_{CG}) + t_{CG} - (1 - B) \times t_{CG}$

$= \text{USD } 200{,}000 \times (1.082)^{17} \times (1 - 0.2) + 0.2 - (1 - 0.8) \times 0.2$

$= \text{USD } 642{,}919$

Gross gain = USD 763,648 – USD 200,000 = USD 563,648

Net gain = USD 642,919 – USD 200,000 = USD 442,919

Tax drag USD

Using FVs = USD 763,648 – USD 642,919 = USD 120,729

or

Using gains = USD 563,648 – USD 442,919 = USD 120,729

Tax drag % = tax drag USD / gross gain

= USD 120,729 / USD 563,648

= 21.42%

If the cost basis is less than 100%, the tax drag percentage will be greater than the capital gains tax rate. In this case, the cost basis is 80%, so the tax drag of 21.42% is greater than the 20% tax rate.

(Module 9.4, LOS 9.d)

Question #2 of 23

Question ID: 1687629

Assuming the global economy is in a recession, what is *most likely* to be the effect on the global Gini coefficient of wealth distribution?

A) Increase. ✓

B) Decrease. ✗

C) No change. ✗

Explanation

The Gini coefficient ranges from 0 to 1, with 0 indicating perfectly equal wealth distribution and 1 indicating maximum wealth inequality.

The Gini coefficient value of 0.35 indicates the greatest equality.

In a global downturn, wealth becomes more concentrated among fewer people, which increases the Gini coefficient.

(Module 9.1, LOS 9.a)

Question #3 of 23

Question ID: 1687630

Which phase follows the career development phase of the wealth life cycle?

A) Neither the peak accumulation phase nor the preretirement phase. ✗

B) Preretirement phase. ✗

C) Peak accumulation phase. ✓

Explanation

The seven stages of the wealth life cycle are as follows:

1. Education phase
2. Early career phase
3. Career development phase
4. Peak accumulation phase
5. Preretirement phase
6. Early retirement phase
7. Late retirement phase

The peak accumulation phase follows the career development phase.

(Module 9.2, LOS 9.b)

Question #4 of 23

Question ID: 1687636

Maurice Boucher invests EUR 10,000 for 10 years at an expected return of 8.6%. An accrual tax of 25% is applied each year to investment returns. What is the proportion of investment returns lost in tax over the time horizon?

A) 32%.

B) 25%.

C) 36%.

Explanation

FV gross	= EUR 10,000 × $(1.086)^{10}$	= EUR 22,819
Gross gain	= EUR 22,819 – EUR 10,000	= EUR 12,819
FV net	= EUR 10,000 × $[1 + (0.086 \times 0.75)]^{10}$	= EUR 18,683
Net gain	= EUR 18,683 – EUR 10,000	= EUR 8,683
Lost to tax	= EUR 22,819 – EUR 18,683	= EUR 4,136
Or	= EUR 12,819 – EUR 8,683	= EUR 4,136

Percentage of investment return lost to tax = tax paid / gross gain

= EUR 4,136 / EUR 12,819

= 32.26%.

(Module 9.4, LOS 9.d)

Question #5 of 23

Question ID: 1687626

Which of the following is *closest* to the definition of human capital?

A) The mortality-adjusted, present value of future expected earnings until retirement.

B) The sum of future expected earnings until retirement.

C) The present value of future expected earnings until retirement.

Explanation

Human capital is the mortality-adjusted, present value of future expected earnings until retirement. The discount rate used to calculate the present value reflects the occupational income risk.

(Module 9.1, LOS 9.a)

Question #6 of 23

Question ID: 1687631

Nathan Ellis and Peter Donaldson are the same age and are projected to earn the same income until retirement. Ellis is a university professor, and Donaldson is a salesperson with a commission and bonus elements based upon performance. Who is *most likely* to have the higher human capital?

A) Ellis. ✓

B) They will have the same human capital. ✗

C) Donaldson. ✗

Explanation

Human capital is the mortality-adjusted, present value of expected future earnings to retirement. Ellis and Donaldson are expected to have the same income until retirement, but the discount rates used to calculate the present values will be different.

The discount rates used need to reflect an individual's occupational income volatility. Ellis has far less income volatility than Donaldson, who has commission and bonus elements to his income. Ellis's income will be discounted at a lower rate, resulting in a higher present value of human capital. Donaldson's income will be discounted at a higher rate, resulting in a lower present value of human capital.

Ellis will have a higher present value of human capital than Donaldson.

(Module 9.2, LOS 9.b)

Question #7 of 23

Question ID: 1687633

In retirement, what typically happens to the relative importance of an individual's investment portfolio in determining their financial situation?

A) Stays the same. ✗

B) Decreases. ✓

C) Increases. ✗

Explanation

At retirement, the value of an individual's pension benefit and their personal residence become crucial factors. The relative importance of an individual's investment portfolio declines.

(Module 9.2, LOS 9.b)

Question #8 of 23

Question ID: 1687637

Deontay Jones invests USD 60,000 for 15 years at an expected return of 9.2%. An accrual tax of 40% is applied each year to investment returns. What is the proportion of the investment returns lost to tax over the time horizon?

A) 60%. ✓

B) 40%. ✗

C) 50%. ✗

Explanation

FV gross	= USD 60,000 × $(1.092)^{15}$	= USD 244,641
Gross gain	= USD 244,641 – USD 60,000	= USD 184,641
FV net	= USD 60,000 × $[1 + (0.092 \times 0.60)]^{15}$	= USD 134,330
Net gain	= USD 134,330 – EUR 60,000	= USD 74,330
Lost to tax	= USD 244,641 – USD 134,330	= USD 110,311
Or	= USD 184,641 – USD 74,330	= USD 110,311

Percentage of investment return lost to tax = tax paid / gross gain

= USD 110,311 / USD 184,641

= 59.74%.

(Module 9.4, LOS 9.d)

Question #9 of 23

Question ID: 1687627

What is the driver of the discount rate used to calculate the present value of human capital?

A) Long-term economic wage growth. ✗

B) Occupational income risk. ✓

C) Equity market risk. ✗

Explanation

The discount rate used to calculate the present value of human capital reflects the risk of an individual's occupation. Occupations with stable cash flows are less volatile and similar to fixed-income investments in nature. Occupations with commission or sales components have more volatile cash flows and are more similar to equities. The discount rate reflects the occupational income risk of an individual's earnings.

(Module 9.1, LOS 9.a)

Question #10 of 23

Question ID: 1687634

Which of the following is *least appropriate* as an inflation hedge in the short term?

A) Equities.

B) Oil.

C) Gold.

Explanation

The text distinguishes between beating inflation and hedging inflation. Over long periods, equities have provided returns that have outpaced inflation. However, equities are often volatile in the short term. Oil and gold are better hedges of inflation over shorter periods.

(Module 9.3, LOS 9.c)

Question #11 of 23

Question ID: 1687623

Which of the following is *most likely* to be classified as a mixed asset?

A) Jewelry.

B) Commodities.

C) Furniture.

Explanation

Mixed assets have both personal property and real asset characteristics. They include real estate and collectibles such as jewelry and artwork. Put another way, certain personal property may also have the potential to appreciate in value such as personal residences, wine, and stamps.

Real assets are tangible assets such as real estate and commodities.

Personal property includes automobiles, furniture, and personal residences.

(Module 9.1, LOS 9.a)

Question #12 of 23

Question ID: 1687638

Lucile Lawless plans to invest EUR 100,000 for 15 years in an accrual tax jurisdiction that taxes investments annually at 40%. Her wealth manager advises her that a return of 8% per annum is achievable over her time horizon, but that this may vary over time. Lawless asks about the impact of accrual taxes. Which of the following is *most accurate*?

A) If Lawless's time horizon shortens, the overall tax drag remains the same. ✗

B) Lawless's tax drag will be 40% irrespective of any change in time horizon or expected return. ✗

C) If Lawless's return increases, the proportion of tax drag will increase. ✓

Explanation

Tax drag is the proportion of return lost to taxes.

Tax drag = tax paid / pretax gain.

Tax drag increases with maturity, and with increases in return.

(Module 9.4, LOS 9.d)

Question #13 of 23

Question ID: 1687635

Which of the following describes a client's unwillingness to take risk?

A) Risk capacity. ✗

B) Risk tolerance. ✗

C) Risk aversion. ✓

Explanation

The correct answer is risk aversion.

(Module 9.3, LOS 9.c)

Question #14 of 23

Question ID: 1687643

Which of the following is a disadvantage of a time-based rebalancing policy?

A) Unresponsive to significant and sudden market changes. ✓

B) Increased risk of portfolio drift. ✗

C) Complex policy to implement. ✗

Explanation

Time-based rebalancing (a.k.a. calendar rebalancing) is easy to implement and reduces the risk of the portfolio drifting far away from its strategic asset allocation.

Implementing a rigid time-based approach ignores short-term market fluctuations that may be beneficial to exploit. For example, increases in an asset class may continue for an extended period. Automating a regular rebalance may limit the portfolio upside participation in increasing asset classes.

(Module 9.5, LOS 9.e)

Question #15 of 23

Question ID: 1687622

The total value of all assets owned by an individual is termed:

A) economic net worth. ✗

B) aggregate wealth. ✓

C) net worth. ✗

Explanation

Aggregate wealth is the total value of all assets owned including financial assets, real assets, personal property, and rights.

Net worth is the difference between assets and liabilities as at a current date.

Economic net worth incorporates future assets (e.g., pension benefits) and future liabilities (e.g., future living expenses) into a traditional balance sheet.

(Module 9.1, LOS 9.a)

Question #16 of 23

Question ID: 1687641

Kirsty Lee invests EUR 150,000 at an expected return of 7.5% for 15 years. All of the return is from deferred capital gains. The cost basis is 70%, and the capital gains tax rate is 25%. **Calculate** the additional tax due over the investor's horizon compared to Lee having a cost basis of 100%.

A) EUR 26,250. ✗

B) EUR 16,250. ✗

C) EUR 11,250. ✓

Explanation

A cost basis below 100% means there is extra tax to pay on an unrealized gain on the initial investment. Lee's initial investment has these unrealized capital gains:

Unrealized capital gains = EUR 150,000 × 0.30 = EUR 45,000

Applying capital gains tax at 25%:

Additional tax due = EUR 45,000 × 0.25 = EUR 11,250.

(Module 9.4, LOS 9.d)

Question #17 of 23

Question ID: 1687632

Which of the following financial stages of life form part of the critical planning phase?

A) Early career. ✗

B) Career development. ✓

C) Early retirement. ✗

Explanation

There are three financial stages that form the critical planning phase:

1. Career development (age 35–50)
2. Peak accumulation (age 50–60)
3. Preretirement (age 60–65)

(Module 9.2, LOS 9.b)

Question #18 of 23

Question ID: 1687628

Which value of the Gini coefficient indicates the greatest equality of wealth distribution?

A) 0.65. ✗

B) 0.35. ✓

C) 0.55. ✗

Explanation

The Gini coefficient ranges from 0 to 1, with 0 indicating perfectly equal wealth distribution and 1 indicating maximum wealth inequality.

The Gini coefficient value of 0.35 indicates the greatest equality.

(Module 9.1, LOS 9.a)

Question #19 of 23

Question ID: 1687642

A client has multiple competing objectives. Which of the following is the recommended approach in creating an investor policy statement?

A) Focus only on a single objective. ✗

B) Assign each objective an equal weight. ✗

C) Identify the primary and secondary objectives. ✓

Explanation

When dealing with multiple competing objectives, the wealth manager should identify the primary and secondary objectives to prioritize resources.

(Module 9.5, LOS 9.e)

Question #20 of 23

Question ID: 1687644

Which of the following is an advantage of a threshold rebalancing policy compared to a time-based rebalancing policy?

A) Aligns to long-term investment objectives. ✗

B) Lower transaction costs. ✓

C) Simple implementation. ✗

Explanation

A threshold rebalancing policy only rebalances the portfolio when portfolio asset classes drift outside defined rebalancing corridor limits. This has the potential to save unnecessary rebalancing costs compared to a time-based automatic rebalancing policy.

Disadvantages of a threshold rebalancing policy include the following:

- It is complex to monitor and execute the rebalancing policy.
- Allowing assets to drift has a short-term tactical focus, rather than focusing on long-term investment objectives.
- There is the risk of overreacting to sudden market movements, rather than long-term investment objectives.

(Module 9.5, LOS 9.e)

Question #21 of 23

Question ID: 1687639

Shanti Smith invests CHF 110,000 at an expected return of 7.5% for 18 years. All of the return is from deferred capital gains. The cost basis is 100%, and the capital gains tax rate is 20%. **Calculate** the total tax due over the investor's time horizon and proportion of investment gains consumed by taxes.

	Total tax due	Tax drag
A)	CHF 55,437	20%
B)	CHF 55,437	28%
C)	CHF 58,867	20%

Explanation

FV gross = initial investment × $(1 + \text{return gross})^{18}$

= CHF 110,000 × $(1.075)^{18}$

= CHF 404,338

FV net = initial investment × $(1 + \text{return gross})^{t} \times (1 - t_{CG}) + t_{CG}$

= CHF 110,000 × $(1.075)^{18} \times (1 - 0.2) + 0.2$

= CHF 345,471

Gross gain = CHF 404,338 – CHF 110,000 = CHF 294,338

Net gain = CHF 345,471 – CHF 110,000 = CHF 235,471

Tax drag CHF:

Using FVs = CHF 404,338 – CHF 345,471 = CHF 58,867

or

Using gains = CHF 294,338 – CHF 235,471 = CHF 58,867

Tax drag % = tax drag CHF / gross gain

= CHF 58,867 / CHF 294,338

= 20%

If the cost basis is 100%, the percentage of tax drag will be equal to the capital gains tax rate. If the cost basis is less than 100%, the tax drag percentage will be greater than the capital gains tax rate.

(Module 9.4, LOS 9.d)

Question #22 of 23

Question ID: 1687624

A family business is *most likely* to be classified as which of the following?

A) Financial wealth.

B) Real wealth.

C) Productive wealth.

Explanation

The correct answer is productive wealth.

(Module 9.1, LOS 9.a)

Question #23 of 23

Question ID: 1687625

Extending the traditional balance sheet to include future assets and future liabilities is used to calculate which of the following?

A) Net worth.

B) Future aggregate wealth.

C) Economic net worth.

Explanation

Aggregate wealth is the total value of all assets owned including financial assets, real assets, personal property, and rights.

Net worth is the difference between assets and liabilities as at a current date.

Economic net worth incorporates future assets (e.g., pension benefits) and future liabilities (e.g., future living expenses) into a traditional balance sheet.

(Module 9.1, LOS 9.a)